# ALO38: Why the Old Rules of Diversification Are Changing ft. Mike Pyle

**Podcast:** Top Traders Unplugged

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# AI Executive Summary

1. Core Thesis Mike Pyle argues that the financial and macroeconomic environment has fundamentally shifted from a 2010s demand-driven, low-volatility regime (characterized by negative stock-bond correlation) to a current supply-driven, scarcity-limited era defined by AI capex, geopolitical instability, and resource constraints. This transition invalidates traditional "60/40" portfolio construction rules, necessitating a move toward income-focused fixed income, diversified private markets, and market-neutral strategies to manage risk in a world where diversification is scarcer than before.

2. Key Arguments & Data

3. **Macro Regime Shift:** We are no longer living in a world dominated by aggregate demand fears; we are in a supply-driven environment characterized by scarcity (supply chains, energy resources, AI inputs) and heightened inflationary pressures.
4. **Fiscal Activism:** Policymakers have pivoted from the cautious fiscal approach of the 2010s to active fiscal engagement post-2020 (Biden/Trump administrations), recognizing that under-stimulation risks long-term scarring of the economy, unlike the central bank-led stimulus of the past decade.
5. **Bond/Equity Correlation:** The 2010s model relied on bonds as a growth hedge due to low interest rates and negative correlation with stocks. Today, bond yields are higher, and fixed income offers better diversification via stable income (credit/structured products) rather than duration trades.
6. **AI Productivity Timeline:** While AI is delivering incremental earnings for hyperscalers now, full-scale productivity benefits in the macro economy may not manifest fully in the immediate future (likely a 2–5 year horizon). This creates ambiguity regarding when the resource demands of the build-out will flip into an abundance paradigm.
7. **Neutral Rate Debate:** Productivity improvements from technology act as disinflationary, but they may simultaneously push the real

equilibrium rate higher due to higher growth potential. The impact on inflation vs. the impact on rates remains complex and currently upward-biased in markets.

8. **Valuation Sustainability:** Hyperscalers generating extraordinary earnings are not trading at bubble valuations (trading <10x forward earnings), but the "choke point" of their supply-side dominance suggests earnings may normalize as bottlenecks dissipate over a 2–5 year period. Demand still outstrips supply for AI capabilities even post-normalization.
9. **Alpha Opportunity Set:** Unlike the compressed alpha opportunity set of the 2010s (due to low market dispersion), the current regime offers significantly greater dispersion, making long/short and market-neutral strategies more viable.
10. **Scarcity of Diversification:** In a world with scarce resources and volatile growth, traditional diversifiers (like long-duration Treasuries) are less effective; true diversification requires market-neutral hedge funds and liquid alternatives.

11. **TPA over Class Allocation:** Investors should adopt Total Portfolio Approaches (TPAs) that build portfolios around risk drivers (growth, scarcity, income) rather than strict asset classes, moving toward a modified 60/40 or balanced book including private credit and fixed income.

12. Actionable Takeaways

13. **Reassess Bond Allocation:** Move away from traditional duration-based bond investments; focus on stable income generation across public and private credit (e.g., corporate, securitized, emerging market) to act as portfolio ballast rather than just a hedge.
14. **Integrate Market-Neutral Strategies:** Increase allocation to hedge fund or liquid alternative strategies for true diversification, particularly in stressed environments where traditional assets correlate closely with macro growth.
15. **Monitor Real-Time Data on AI:** Avoid rigid forecasts for AI productivity; instead, focus on quarterly data points regarding earnings

and capacity deployment to gauge when the macro handoff from scarcity to abundance begins.

16. **Adopt a Multi-Strategy Portfolio:** Instead of picking individual strategies, invest in strong multi-strategy capability managers (systematic) who can dynamically optimize alpha streams based on changing market conditions.
17. **Cultivate Humility:** For those building careers in asset allocation or macro investing, actively learn from the people within your organization who know their specific domain better than you do; openness to being taught by experts is the most effective method for professional development.

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# Full Transcript

I mean, to me, that's been, you know, the most important touchdown across all of my career and something I try to remind myself of every day sitting in my new world of plaque rock. This is an extraordinary organization filled with people who know their corner of what we do better than anybody else. And if I'm open to that, I can bring things together, connect thoughts and ways that are going to deliver value for clients and deliver value for the firm. Welcome to Top Traders Unplugged. In markets, success doesn't come from predicting what happens next. It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond to understand how they think, how they prepare, and how they decide and the experiences that shaped how they see the world. No noise, no shortcuts, just real conversations to help you think better and invest with confidence.

Welcome back to Drop Critters Unplugged. My name is Alan John and today I'm delighted to be joined by Mike Pyle. Mike is deputy head of BlackRock's portfolio management group, which spans systematic and discretionary investment strategies across liquid asset classes. Mike has been at BlackRock on and off for quite a while. He was previously the firm's global chief investment strategist and earlier in each career he has spent an extensive amount of time in the US government from 2022 to 2024. He was the US Deputy National Security Advisor for International Economics. And earlier in his career, he has been Chief Economic Advisor to Vice President Harris and in the prior administration had been a special assistant for economic policy to President Obama. Mike, that's a great CV. We're delighted to have you with us. How are you doing?

I'm good. It's so wonderful to be here. Thank you for having me and wanting to chat about markets and economics and all the things that so many of us care about. Grace, well, I gave a quick overview. You have a fascinating background in government and in markets. We always like to hear what got you interested in economics and markets in the first place. I majored in economics when I was in university, did some graduate work in economics. I came into college thinking I would be an economics major,

and I left college an economics major, but I really was a bit of a journey along the way. came to school thinking I was going to become an economics major because it was the closest thing that my university offered to a business administration degree, and that's what I thought that I wanted to study and to go do. And then I left it and thought it was going to be a philosophy major for a while, an English major for a while, and then came back to economics for a different reason, which is it provided a framework to really explain the world around me, why people behave the way they do, why firms and companies behaved the way they do, why governments can use policy to shape incentives and hopefully lead to more.

broadly shared prosperity. And of course, also the role that capital markets can play in all of this, and the important role in helping all of us use capital markets to build for a better future to connect savers and investors. All of those things kind of became clear as I got deeper into my education. And as a result of that, it was like, this is what I want to go do. This is what I want to be a part of, whether it's in the private sector or as a policy major? Good stuff. And obviously, you've had that extensive experience in policy and government, which we might touch on briefly later on as well. But I did mention that you were Black Rocks.

global chief investment strategies for, I guess, for much of the last decade, I think it's from 2014 to 2020, now you're back in a different role. And I think it's fair to say we're in a very changed macro environment to the environment that you would have been navigating back then. I mean, from your perspective, how do you characterize that change in the macro regime? Yeah, I think that's a great... way of getting into a whole range of interesting topics. And in some ways, for me, it was an especially jarring transition. As you pointed out, was it BlackRock from 2014 to 2021, left working capital markets for three years and then came back in 2024 really to, as you say, a pretty dramatically changed macro and market environment. So to see the snapshot really between those two different worlds was a really striking one. And I think it gets at some really important dynamics for thinking about the economy markets and investing today by distinguishing where we are from where we were. So I'd say the key point I would start with is to say, Today, this current market environment is really a world shaped by supply, as we say. And this began during the pandemic, but we've really

seen it only accelerate since then, whether it's the Russian-Ukraine War, whether it's the energy shock coming out of the war in Iran, whether it in some ways most importantly is the transformation underway with respect to artificial intelligence and the CAPEX impulse powering that. All of these are phenomena happening on the supply side of the economy. And that's a very different world in ways that I would love to explore from what we saw during the the 2010s, which was really a world more driven by a lack of demand, a lack of aggregate demand. And that led to a whole range of things. It led to a very particular set of policies and policy interventions, particularly from central bankers, led to a very particular market and volatility regime. And I think as a result, each of those distinct environments had different takeaways or upshots in terms of how you would construct portfolios to generate the right risk return profile for your needs. Yeah, interesting. This kind of shift from, as you say, a demand-driven world to a supply-driven world has been very stark.

People have been talking about it and then it kind of goes away and then it seems to keep coming back. As you say, we had COVID and we had the war in Ukraine. Now we've got the conflict in Iran. I mean, you know, there are a couple of upshots of that. I mean, obvious ones are on fixed income markets and then people put. point to the impact on, say, the bond equity correlation. I mean, from your perspective, what's the most dramatic, what's the most significant element of that from a kind of an economic policy perspective, and also then maybe from a portfolio construction perspective? Yeah. I mean, I think you hit on a couple of them, but maybe to take a step back.

In a world like we saw in the 2010s where the real question is, is there sufficient aggregate demand? The impulse of policymakers, particularly central banks, is to encourage things that are gonna lead to more aggregate demand. So basically pinning interest rates to the floor, engaging in quantitative easing and other tools to get investors and other economic actors to take on greater risk, recognizing that the risk-free options they have or the low-risk options they have in front of them are going to be increasingly low return. And that has a side impact of really dramatically suppressing or lowering economic volatility as well as market volatility. And I think that that meant a couple of things. One, it meant that the

concerns of policymakers as well as market participants really were entirely on the growth side rather than the inflation side. And in a world where that principal worry is about growth and risks to growth, to your point, that's a world where stocks and bonds are going to are going to co-move differently than in a world where inflation is a bigger risk. And as a result, we saw really nice diversification properties in the 2010s where bonds were really great hedge to stocks because of that negative stock bond correlation driven fundamentally by growth risks being predominant. The other thing I'd say is that that lower volatility environment as a result of policy intervention was one where market dispersion.

was really compressed. As a result, in some ways, the investment opportunity set for active managers, for hedge fund strategies was quite compressed as a result of that low market dispersion relative to worlds with more, quote, unquote, normal interest rate environments. I think what did that mean for portfolio construction? It meant a few things. It meant that relatively balanced portfolios, called the traditional 6040, offered really attractive return features as well as really attractive diversification features. It meant that what was rewarded frankly both on the fixed income side as well as the equity side or sort of quote unquote kind of long duration trades. You know, being long duration in the bond space, obviously we saw the outperformance of long dated government bonds, of risk parity strategies, but frankly the same was also true on the equity side. If you think about the outperformers, it was basically in a world where growth was scarce, the handful of companies that were produced producing a lot of growth and producing a lot of growth with very long-dated cash flows in that event that the tech, as they would come to be known, are hyperscalers, where those future cash flows were all discounted back to the present, basically at a zero interest rate. And that was kind of functionally like the portfolio that worked for a decade. Long equities in particular, long duration equities, long fixed income in particular, long duration fixed income, and really benefiting from the from the negative stock bond correlation to provide a lot of diversification between those exposures. It's a much, much different world that we step into today and happy to talk about some of those distinctions as well. Before we do that, I'm curious to get your perspective, particularly as somebody who's been in government and obviously attuned to all of the policymaking dynamics. In the 2010s as well, it was a period

where Governments seemed reluctant to really use the fiscal element to a great extent. The term was central banking was the only game in town now. We seem to be into a different, more active fiscal environment. And I know you were...

as a special assistant for economic policy in the Obama administration. And even then, after the financial crisis, all the reports were, you know, you couldn't go too far in terms of the fiscal bailout. But I'm just curious, what do you think has changed from a social side or a fiscal or a policy side that has shifted the world to much more fiscal activism? Yeah, I mean I think in some ways famously I said generals are always fighting the last war I think policy makers similarly run the risk of always, you know fighting the last crisis And so I think you're exactly right. I mean clearly I think many Policy makers took away from the experience post the global financial crisis that Not enough was done in the immediate aftermath of the crisis on the fiscal side the economy as a result remained, you know, to use the term kind of understimulated for a long stretch. And we saw, you know, a very sluggish recovery in the labor market, in the broader growth trajectory in the United States. Obviously, follow-ons like the Arizona Financial Crisis complicated that picture globally even further.

But I think as a result of that experience, and frankly, I think the result of then the real macroeconomic healing that we saw from, say, 2016 to 2020, the very tail end of President Obama's term as well as President Trump's term, and in some ways facilitated by the significant fiscal expansion that President Trump did early in his first term, I think we saw we saw firsthand that fiscal policy can move the lever and accelerate economies back towards their productive potential, their labor market potential. I probably would have designed that fiscal intervention differently than President Trump and his team did coming from where I do, but I think that the broad lesson macroeconomically was there. Fast forward into 2020, the pandemic, I think that those lessons of the past decade were, you know, really front of mind for policymakers. You know, I think if you kind of look back to the very tail end of President Trump's first term as the pandemic emerged, there was, you know, I think a pretty significant and activist fiscal intervention in the beginning stages of that pandemic under President Trump and his team as well as the Democratic Congress. And then I think as you fast forward

into President Biden's term, there's a real sense that the error of The air of the last decade highlights that the risk is doing too little rather than doing too much. And I think that as policymakers, the start of the administration formulated their plans. It was very much that risk of...

long-term scarring of not doing enough of reliving the experience of the 2010s that motivated a lot of decision-making. Of course, and to what extent you attribute this to policy or not, policymakers discovered that there are risks on the other side of the coin as well. That's where we are today. You did touch on this idea of the perfect portfolio in the last decade was Long technology, you know, hyperscaler type exposure, their long duration assets. And I guess, you know, a big feature of that period was, you know, the fantastic earnings they were, you know, they were generating. And then with that huge cash flows and, you know, buying back stock, et cetera. And obviously now again, that's another contrast with the current era. They're still generating large earnings, but obviously, they're deploying those earnings in CAPEX, and we've shifted into, I guess, a world of constraints on capital versus ample capital. Do you think this is going to be a feature going forward, or will this naturally, I suppose, choke off some investment, or how do you see this dynamic playing out? I think you get one of the themes that we've been talking about a lot.

in the current and market environment, which is this distinction between scarcity and abundance. And in so many domains, I think that we are living as a corollary of this being a supply-driven world. We're living in a world of scarcity. So you think about the supply chain shocks. coming out of COVID and the world discovering that a lot of the supply chains that we had relied on were extremely vulnerable to meaningful global shocks like, you know, a once in a century pandemic and scarcity in a range of important inputs as well as final goods, you know, emerged in that experience, the Russia-Ukraine war. similarly, you know, the first of two major energy shocks over the last five years in a recognition of how vulnerable to geopolitical risk.

Global energy production and supply chains were and I think you know importantly the AI build out is highlighting this as well across a couple of dimensions and I think I think one the demand for real resources to compete complete that To that build out whether that's on the side of a leading edge

chips, whether that's on the side of energy, whether that's across a range of other inputs. We're seeing a number of bottlenecks emerge just in terms of real resources. Again, highlighting that scarcity in bottlenecks are incredibly important considerations today in a way that wasn't true a decade ago. But I think you also highlight that on the capital market side that there are meaningful questions about the overall capacity.

of capital markets. The scale of the build out here is historically immense on the AI side. As exactly as we were talking about before, the fiscal posture of the United States as well as other developed economy governments around the world, much different today versus a decade ago by virtue of using those fiscal tools more actively wanting to invest in resilience and other. and other policy goals. And then there's the kind of basic financing that still has to happen in capital markets of investment grade, corporates of the housing market of consumer finance. That's a lot of demands that we're placing on capital markets today. And I think that that's leading to the types of interest rate dynamics that we're seeing. I think that we expect to see going forward. And I think the big question is, when do some of this AI build out?

flip us from more of a scarcity paradigm into one of abundance of unlocked productive potential of greater growth. And I think that's the thing that's most on the table as we roll the clock forward from here is, do we move out of the scarcity paradigm that's characterized so much of the last five or six years, the supply driven world to one of abundance generated by the investment that we've seen most particularly in artificial intelligence and technology. over the past handful of years. Interesting. I mean, that's a good way of framing it. And obviously that's the dilemma is that the central bankers are grappling with as well. And Kevin Warsh has kind of alluded to that dilemma. I mean, it does create this kind of challenge. I mean, do you raise rates because something is inflationary at the moment, but maybe disinflationary down the line? I mean, from your perspective, what's your time on it?

I know it's a very difficult question to answer, but are you expecting that we would start to see more obvious benefits in terms of productivity from AI in the data in the next six months, or do you think it's something that's over a

two to five-year time horizon? I'm a pretty data-driven guy, and I think that particularly when it comes to an immense transformation, like the one that's underway that has very few. if any, historical analogs, that it's important to recognize any forecasts that you're going to have about how this plays out really over any horizon. But particularly when you start getting from quarters to years, it's going to have huge uncertainties attached to it. And I think the good news is that we can observe how this is playing out in real time in the economy. And policymakers, you know, we'll be making choices on the basis of the data that's coming in. And so I think, you know, my advice to, you know, the Fed share to other central bankers, other policymakers is, you know, it's hard to say when that transition point is going to happen.

But we have extraordinary real-time capabilities to gather data to see what's playing out and to understand with some texture and granularity, is this handoff beginning to take place? I would say the evidence thus far is fragmentary, but I do think that we are starting to see evidence of some of the productivity enhancements that have been forecast. Obviously, incremental investment is leading to incremental earnings in a range of corporates that are deploying AI. And I think that those types of data points are suggestive that a number of the promised benefits are coming and are to come. And the key question will be when do those benefits and the productivity improvements that they promise begin to have greater weight in the macro economy than the kind of resource demands of the AI build out, of the resilience build out, of the fiscal needs of a range of economies around the world. And I think that that's, it's still a little early to say that we've gotten to that point. Yeah. And I mean, as I mentioned, I mean, the central banks are grappling with this. And it's, you know, it was, I suppose, you know, beneath the surface, kind of part of the question the market had for Kevin Warsh.

at the last press conference, which he kind of danced around a little bit. But I mean, you think, firstly, you know, some people have made this parallel with the 90s, you know, in Greenspan, new paradigm, etc. It's a reason for not raising rates at the moment. What are your thoughts on that? Are you more in the camp? But no, actually, our productivity boom means higher neutral rates. Or, yeah, you know, from a policy perspective, how do you

think they'll disentangle all of that? Yeah, I mean, I think that's I think that's a very good question I mean I think in the near term As we were talking about the kind of real resource needs as well as the capital markets needs suggest that the pressure is upward on inflation and rates. And I think that that's the dynamic that we've heard policymakers speak to and we've seen priced markets. I think you're right. As we look out to the medium term, on one hand there's the there's the disinflationary impact of productivity, improving technology, the ability to produce more with less. Exactly the types of 1990s dynamics that Alan Greenspan once spoke about and shaped policy with respect to. But I think you're right. I think there's an additional debate out there about whether the types of technology-driven productivity enhancements that we are likely to see in the years ahead is going to be a force upward on that neutral rate, that there's kind of disinflationary trend, but there's also a kind of higher real equilibrium.

growth and as a result, higher real equilibrium rate dynamic or whether, you know, and I think this is the kind of minority position that there's downward pressure on those real rates as well. So I think that there's going to be a lot of distinct threads to disentangle a lot of hard questions, as you will know, estimating the real equilibrium rates, a pretty hard business and even which direction it's moving, I think, is a pretty hard business. But I do think that we can have, you know, some confidence that there's a disinflationary trend ahead. And then the question is on top of that, which way is the real rate moving? Interesting. Obviously, the upshot of the CapEx boom has been an earnings boom. People have been talking about, is this a bubble? And then say, well, it's not a typical bubble, but maybe it's an earnings bubble given the magnitude of the CapEx build-out.

I mean, from your vantage point, how would you characterize valuations at this stage? Are they high or not? And any thoughts on the kind of the sustainability of the earnings growth that we're currently seeing? Yeah, I mean, I guess a few thoughts. I mean, I think that you actually characterize things similarly to how a number of us think about it around here. I mean, when we look at valuations particularly Forward valuations of you know a range of these companies at the center of the of the the AI team and the AI build out Those valuations, you know look if anything kind of you know pretty far from stretch. You look at a handful of the memory firms, they're

trading under 10 times forward earnings today. This doesn't look anything like a situation like what we may have seen in the late 1990s or something along those lines. But I think you're right that I think the real question on the minds of investors is we're seeing extraordinary profits being generated in some ways, the way to think about one of the really important themes.

in 2026 has been up to this point, the hyperscalers have led the market. This is a year when the hyperscaler performance has been more subdued, and instead it's been the companies to whom the hyperscalers have been writing checks that have been the real beneficiaries in equity markets this year. And I think the question on the table is, yes, those firms that really sit at these critical points of the AI build out are generating extraordinary earnings, extraordinary profits, but how sustainable are those profits? I guess I'd have a couple of observations. these companies are at a strategic choke point of a critical economic buildout. I think something that we know from economics is that in the short run, factors of production are fixed. In the long run, factors of production are flexible and move to where opportunity is. And so I would expect that over some horizon measured on quarters to years, those bottlenecks are going to be relaxed because companies are going to innovate around them. New suppliers are going to come into the fold. Supply is going to expand from the existing supply.

So I would expect that the bottleneck features of these extraordinary earnings are likely to dissipate over time. I think two additional points though, one is I think the market gets this. This is exactly why these companies with extraordinary earnings are trading on relatively subdued multiples. I think the market understands that these these earnings are going to last forever and when they get visibility into what that sustainable level of earnings is. I would expect that those multiples retrade higher and we get to a more equilibrium kind of destination in terms of that mix of sustainable earnings with a multiple that's marked a visibility into what that sustainable path is. And secondly, I think we do think that the sustainable path of earnings even once these bottlenecks dissipate is pretty considerable. I mean, I think our observation is that still the case and still the case by some margin that the demand and for AI capabilities is outstripping supply however much we're building out. And I think that does suggest a path ahead of ongoing build out, ongoing delivery of additional capabilities. And

that's going to mean, I think, a healthy earnings trajectory looking ahead, even if it looks different from the extraordinary earnings we've seen in recent quarters to a couple of years.

You know, a different lens on it. You know, we were talking about the macro regime in the 2010s versus now. And you could say, well, obviously the bond market trades differently. You know, we were in much higher yields than we were back then. You know, arguably the commodity markets have adjusted to much higher net than they were back in the 2010s. But equities have kind of been pretty relentless through the... the old regime and the new regime. Do you think that makes sense or is there something there that hasn't adjusted to the new regime? Or do you think that actually the equity market still has a right? Yeah, I guess I might take a step back and talk a little bit about how we think investors can, should think about constructing portfolios today. I think to your point, We continue to think that, you know, growth, that exposure to growth in the form of equities is, you know, at the core of a portfolio. And in particular, exposure to technology, to artificial intelligence, these are, you know, really important.

you know, exposure is kind of appropriately sized within a portfolio. It's why, you know, we continue to be really across the platform on balance, overweight US equities in particular in the total portfolio context. But you know, I think that we also see that the things you build around that need to look different today than they looked a decade ago. So, you know, I think that, you know, we've talked a lot about you know, the stock bond correlation bonds as diversifiers. I think the role of bonds today looks meaningfully different than it did a decade ago. You know, it isn't really about duration. It really isn't about the diversifying properties of bonds in the same way that it was a decade ago. On the flip side, bonds can be a really significant source of income in a portfolio. And income is a form of ballast instability in a portfolio all the same. And so I think we've shifted from a world of more duration-oriented fixed-income portfolios to more income portfolios focused on parts of the global fixed income landscape that are generating that stable steady income in public markets, in corporate credit, in emerging market credit, in private markets, in a range of the exposures they can provide. So I think that those are two important themes for how we're building portfolios. And the third is you still do need

diversification. And diversification is an important dimension of how you need to build a portfolio.

diversification is in relatively short supply in terms of today's market landscape. One of the things we recognize as well or think as well is that there's a really important role for more alpha-oriented strategies, market neutral strategies, whether they be hedge funds, liquid alternatives, that those types of market neutral, low net strategies have a really important role to play in. providing diversification and stability against those other exposures, whether on the equity side or to a lesser extent on the fixed income side that are going to be more sensitive to macroeconomic and growth dynamics. Very good. And I mean, that's a good segue into, I guess, to get into that in a little bit more detail. Obviously, there's a whole plethora of hedge one strategies that people can allocate to.

Maybe before then, I mean, obviously private markets was the big theme going back, private equity, etc. I mean, sometimes people, you know, because something is private markets will put it into the diversifier. I mean, Bucket, from your perspective, how do you categorize or what's your kind of way of thinking about? private markets, private credit versus hedge fund exposure, and then kind of thinking about the roles of all of these opportunities in a portfolio. Yeah, I mean, I think the way I see some of the private markets exposures that we think about, particularly here at BlackRock and spaces like infrastructure and credit, is that, you know, take credit, for example. Income plays a really important role in portfolios as I just described. Getting exposure to a diversified basket of income generating assets means looking across the full span of capital markets. If you're going to build you know, a sound, diversified income-generating set of exposures in your portfolio, it can't just be in the public market space anymore. That wouldn't be a kind of full representation of, you know, of attractive income-generating assets in today's capital markets. And so bringing public and private exposures together, bringing different types of exposures from the credit universe, corporate, securitized, emerging market, and the like is, I think, from our perspective, the way that you should be building thoughtful, balanced, diversified exposures at your portfolio in order to generate that type of stable income that's an important building

block for the total book. I think of the flip side, I think hedge fund strategies in particular, like I said, more market neutral.

low net strategies, I think those are best thought of as important diversifiers to the overall portfolio that running at lower zero beta is a really important thing to add to the mix of a total portfolio to give a different kind of risk return profile than your equity exposures and your income exposures, which are, by their nature, going to be more sensitive to the kind of swings in growth that you see at the total economy level. I think those market-neutral exposures should be less sensitive to that and as a result, more diversifying. straightforward, a diversifier as buying a 10-year treasury was a decade ago? No, that was about as good an environment as one could hope for, for having a very straightforward hedge in a portfolio. But I do think that in a world where that isn't as available as it was, where diversification is scarce, it's really a lot of those more market neutral type exposures that can provide the best diversification.

attentional world to short kind of really, really good diversification of the kind of bonds used to provide. Fair enough. And obviously within the kind of, even within, you know, market neutral or, you know, which I guess is kind of typically would be long short equity or equity market neutral. I mean, you've got discretionary approaches, you've got quant approaches and then into the kind of the more macro world, which is can be market neutral or it's more directional, I guess. I mean, when you're building those portfolios, are you trying to balance some exposure to everything, or how do you think about that? Do you include tail hedges, or do you rely on more convex strategies like macro and CJAs for that potential convexity in times of stress? Yeah. There are a range of ways of approaching, and it really depends on the objectives and needs of an individual client.

you know, in general, you know, a really strong multi-strategy capability at the core of a hedge fund portfolio, I think is really, you know, kind of piece of advice kind of number one. I think that having a range of different strategies brought into one total portfolio delivering one stream of alpha enables a couple of things. One, it enables greater breadth across each of the individual alpha streams to roll up to one portfolio experience. And as we know from the Fundamental Law of Active Management, higher breadth is

is an important ingredient in building a high stable information ratio. And then secondly, it enables the manager to really optimize across those different individual alpha streams depending on the market and basically optimize the portfolio through time at every moment in time. I think that's different than an allocator or an end investor trying to replicate a multi-strategy by having a set of individual strategies, the ability to optimize that portfolio to reallocate across those strategies dynamically in the face of changing market conditions, not really.

available. And so I think finding a strong multi-strategy manager, I think in many ways, systematic managers have a particular leg up in this regard that can do that, that real-time optimization across individual strategies and alpha streams is the way that you can take best advantage of the breadth that a multi-strategy offering can bring into the core of a hedge fund portfolio. Okay. And I mean, it sounds like that. It sounds like you're a fan of the large multi-strat pod shop approaches for those reasons. I mean, the proposition from them seems to be very much about consistent returns with Lowval. Obviously, you tend to see very high sharp ratios. What about in times of severe stress? Would you have conviction that those kind of strategies can deliver returns or outsize returns? Or do you think you need to couple that kind of core allocation with anything else in the portfolio? Yeah, I mean, I think again, this goes to the question of individual investors and their goals. I think in general, like I said, In terms of a total hedge fund program, having that multi-strategy effort at the core, again, I think we think the systematic multi-strategies have something really unique and special to offer at the core of a program, but complementing that with additional strategies can also make sense. More directional macro or long short equity strategies, these have very distinct risk return profiles, correlation profiles versus a core multi-strategy offering him, and as a result, change the shape of...

the risk and return profile of an overall hedge fund strategy to help achieve an individual investor's goals, whether that's greater return, whether that's greater stability, particularly in more stressed macro environments like the types of risk scenarios you described. I do think that these strategies have different characteristics to the risk and return profiles that they generate in different market environments. And thinking hard alongside a team about

how to build the right type of hedge fund program to achieve goals of. diversification of the portfolio level, return seeking at the portfolio level. I think that those are the types of questions that investors weigh as they think about what type of satellite they want to build around a core multi-strategy offering. Fair enough. I mean, obviously, we've seen in the last, just literally the last couple of weeks, some stresses with some hedge fund strategies. Obviously, the momentum trade in AI, big reversal. And then obviously we saw in one case, hedge fund hitting margin calls and hitting stress. So maybe not exactly the same as the quant crisis of 2007, but some parallels maybe in terms of hedge ones running into problems with leverage. I mean, is that kind of something that we need to be more attuned to at the current juncture? Do you think or is that kind of more of an isolated...

episode. Yes, I mean, I guess a few thoughts. I mean, I think one, you know, we've, we spend a lot of time in our systematic effort here at BlackRock. And, you know, I think one of the things that's really shaped and, you know, kind of really been you know, seared into the experiences of the senior investors there was exactly that was that kind of pre-GFC 2006-2007 quant crisis. You know, BlackRock, we've been systematically investing for 40 years, so a really, you know, long history of both innovation but also experience in a bunch of different types of market conditions and, you know, learning the lessons of Both that episode as well as other episodes that we've seen along the way in the hedge fund ecosystem as well as the the quant ecosystem I think is really motivated a lot of how both they do research into Alpha signals, but also how they construct portfolios and I think you know in this exact way that the second pointed highlight is like one of the things that's really powerful in particular about more systematic approaches is the ability not just to dial overall market data but to.

Dial some of those individual factor exposures as well, you know down to zero or something close to it So you're really isolating that that pure uncorrelated alpha Components of the return if you kind of dial the dial or the turn the clock back to pre that the quant crisis in 2006 2007 a lot of quant strategies were about Harnessing factor exposures to deliver return. And I think what was discovered is those factor exposures are actually subject to really unattractive drawdown features in stressed markets. And I think kind of rolling the clock forward, what we've tried to do is not just, as

I said, kind of dial the beta down to zero, but dial some of those well-known factor exposures, like momentum, like others, as close to zero as possible and really isolate that pure alpha piece. So I do think that that experience has motivated the way research is conducted, the way portfolios are constructed precisely to be responsive to some of those previous experiences. And I will say, I think obviously we've seen nothing of the magnitude of the 2006, 2007.

in Quantquake since then, but there have been more. moderate to modest stress episodes a number of times since that, including as you point out last month. And I think the evidence from that is suggestive that that type of approach makes these portfolios much more resilient across time than what we saw prior to the GFC. Again, you always want to be humble. You always want to be very focused on risk and emergent risks in investing in financial markets. And so we're extremely focused focused on exactly this dimension of research and portfolio construction every day around here. But I think that a lot of what we've done for a number of years now is motivated exactly by that set of concerns. Interesting. And I mean, we have talked a lot about the...

changed macro regime and the 2010s decade versus the current one and how that is informing kind of maybe a difference in asset allocation. Does it also influence your thinking when you think about individual hedge fund strategy selection? You know, obviously more dispersion, maybe higher inflation, scarcity, etc. Tell us a little bit about how that influences which hedge fund strategies are more preferable in the current environment. Yeah, I mean, I think you get at the key point, which is, you know, you rolled a collect back a decade. It was a pretty hard decade for hedge funds writ large. And when you kind of think about it, it sort of in a sense, you know, makes sense. As we talked about diversification and sort of relatively cheap forms of diversification were abundant, you know, long duration government bonds. At the same time, market dispersion, was very compressed. So the alpha opportunity set was comparatively low, even for long short managers, especially compressed in the long-only setting. I think that combination of the widespread availability of diversification and the compressed opportunity set at a macro level kind of really explains why that was such a challenged period of time for the hedge fund landscape.

Fast forward today, we've talked about, you know, diversification in short supply, investors need that at the portfolio level. And at the same time, the dispersion landscape in markets means that the investment opportunity set, the alpha opportunity set is much different, significantly larger than it was a decade ago. And I think that points to the way to why we've seen strong hedge fund performance over the past handle of years and why allocators are increasingly turning again to hedge funds for the first time in quite a while because of this mix of the world's short diversification and markets are offering greater dispersion as a result, greater opportunity to generate alpha, particularly in long short strategies. Very good. One of the features that we've seen coming back into the markets is being extension strategies and portable alpha.

And for a long time, I supposed to reflect the fact that equities were doing so well and continuously so well. So a lot of hedge fund strategies, when you compare them to equities looked underwhelming. So maybe from an allocator perspective, allocators didn't want to give up their equity beta. And then I guess from the manager perspective, track records are even better if you combine them. with equity beta, particularly for lowly correlated strategies. Is that something that you deploy in your portfolios? Or how do you think about the opportunity set of combining active H1 strategies with passive beta? Yeah. I think that's a great question. I think we're seeing a lot of interest in portable alpha strategies from allocators today.

And I think one of the things that we take some pride in at BlackRock is a really relentless focus on our clients' needs as well as what we can deliver in terms of customization around client needs. And so we spent a lot of time on portable alpha strategies with a range of sophisticated clients, both in terms of selection of underlying beta vehicle selection of overlying alpha vehicle and how you bring those two things together to give investors both that beta exposure that they want coupled with. a really strong long short alpha engine sitting atop it. I think it's been really interesting to see the types of solutions that we've been able to work on with clients to really customize both of those things and generate really unique solutions bringing the two together in a complete portable alpha solution. From that perspective, do you think it's market neutral or those types of strategies, but is that the type of strategy that you think lends itself best to this portable

alpha approach? Yeah. I think one of the things that's clearly the case is that one of the things that recent data suggests is the case in the market environment that we've been in is that long-only strategies.

face a range of challenges delivering alpha as a general matter, not in all cases, because of how concentrated equity markets have become. And when you add the lever of being short as well as long, you pretty dramatically increase the ability of an alpha manager to take full advantage of the dispersion across the market to deliver a steady stream of alpha and to take advantage of the market environment we've been talking about. I think we've seen from a range of allocators the desire to move out of some of their long-only active equity strategies, really embedding beta and alpha in one allocation or that the alpha piece of that. that is constrained by the long only constraint to a world where you're kind of separating the two. You're getting your beta exposure and then you're porting on top of that a long short market neutral strategy to again kind of bring back together both the beta exposure you want as well as a really attractive alpha engine sitting atop it and again kind of unlocking the ability to mix and match some of those betas and alphas. That's a much different type of solution.

than embedding beta and alpha in one long-only mandate. I think it's, again, responsive to some of the market dynamics that we're seeing and some of the challenges that concentrated equity markets in particular present to long-only managers. We've talked quite a bit about... the changed environment, but also that portfolio construction. And I suppose one idea that encapsulates that change is the 6040 really ruled in the last decade. Now people are saying, OK, some people saying 6040 is dead. Others say, no, it's not dead. It just needs modification. What's your view on that? Is it now 60, 20, 20, 60, 30, 10? Or what are the components? And maybe related to that in the institutional space, we're hearing a lot more about.

TPA total portfolio approaches. Is there a role for that for outside the institutional space or how do you think about that kind of approach when you're building portfolios? Yeah, I think this comes back to the conversation we were having earlier about how we see the building blocks of the modern portfolio in this kind of world shaped by supply, this world shaped by scarcity. And I think that both the 6040 conversation and the CPA

conversation in some ways kind of come to the same concluding point. I think what we've talked about here, what our founder and CEO Larry Fink has talked about is moving away from a traditional 6040, recognizing exactly the dynamics we've talked about. That it is important to have growth exposure at the core of a portfolio, but the role in particular that that bonds are playing are different than historically, and you need to build a different allocation within the 40. Bonds and a diversified set of fixed-income exposures can provide stable, steady income.

which is an important ingredient in a well-balanced portfolio. At the same time, finding sources of diversification outside of the traditional asset classes and things like more market-neutral strategies, also an important role to play. As distinct from that traditional public market, 60-40 stock bond portfolio, a portfolio of stock and growth exposures combined with fixed-income exposures across public private markets. that's combined with diversifying exposures through things like hedge fund and liquid alternative strategies, these add up to what can provide an alternative to that traditional 6040 recognizing the challenges that that has providing diversification and providing exposure to the full set of opportunities available in capital markets. And I think that in some ways the TPA conversation is a very similar one as well. We spent a lot of time on that.

The thing that we are very sympathetic to is, in some ways, it's important to move beyond asset classes and to think very distinctly across asset classes about what the distinct drivers of risk and return are and build portfolios around understanding what those underlying drivers actually are. I began my career as a multi-asset investor. This is how we thought about portfolios a decade ago when we were building shorter horizon alpha portfolios. But I think we're seeing now the same dynamics are really taking hold around the total portfolio approach conversation. And so whether you've got a driver, a theme around growth in AI scarcity, whether you've got a driver and a theme around duration and where true diversification comes from, whether you've got a driver, a theme around generating stable income. These are the types of underlying drivers of risk and return that you need to think about in an asset class or exposure agnostic way, and then build a set of exposures that reflect that underlying driver theme and build a portfolio around it. That's really what the TPA approach is about, and it lands you in a very

similar place to what we talk about today as an alternative to that traditional 6040.

I'm just conscious of time. We've obviously spoken a lot about AI from a macro and economic perspective. I'm just curious to get your thoughts on what you're seeing from an investment perspective. A lot of people think AI is going to be the thing that can transform portfolios. Obviously, we're seeing some managers using it effectively. I mean, from your perspective, how do you see AI changing the investing landscape? So obviously this is something we're thinking about every day here at BlackRock. It's highly likely to be the most important question we think about over the next decade in terms of how we do what we do. I'd make two observations. I think one, we're benefited, I think here, from having a systematic investing team and platform that's been at the forefront of technology and investing for its 40-year history. If you look over the last decade, they were...

they were doing natural language processing more than a decade ago. They've been deploying machine learning and portfolio optimization and construction for almost as long. And so really that long tradition of being at the cutting edge of how to deploy technology and the work of investing. health of signal generation in portfolio construction around all of these new and emerging techniques, an important capability, both in terms of delivering results to clients, but also in terms of shaping how we think more broadly across the farm around the business of what we do of investing client capital. Say on the fundamental and discretionary side, I think in some ways a very different type of investment process, but I think important lessons to be learned from the systematic side. And so I'd say there it's been a focus on building research engines that can draw across the full set.

of proprietary data that we have here at BlackRock to really super empower our analysts, both to enhance the quality of the mosaic that they're considering with respect to any specific company or name, enhance the decision-making process around arriving at a judgment on that name. But I think in some ways, just as or more importantly, increasing the ability of analysts to cover more names to reach with high quality into a broader segment of the equity or fixed income market. Why I think that's important?

But I think at the end of the day, if we're going to capture better results for clients, and again, to go back to that fundamental law of active management, Yeah, it's going to be partly about building better forecasts, but I think importantly it's going to be about building more breadth into fundamental portfolios. And key to that is increasing the velocity of ideas, increasing the velocity of high quality ideas, and being able to vet them at the hands of super empowered analysts. I think that's what we're really working towards, again, capitalizing on this long tradition of excellence and innovation on the systematic side and taking some of those lessons and recognizing what technology may enable us to do on the fundamental or discretionary side.

Good, Soph. Just before we wrap up, we always like to get our guests just to reflect on their careers and maybe to give some guidance for people who are maybe coming into the investment world now. Any advice to give to people in terms of things to do or things to read or any perspective you think that anybody who wants to develop a career as an asset allocator or macro investor, what would your advice be, Mike? My advice is to look humbly around you 360 degrees in any organization you're a part of and to really run towards where the best people are and to learn from them. I had this experience when I was in government. I was fortunate enough to come into the White House on day one of President Obama's term as a very young policy professional, and the ability to turn to, you know...

the career civil servants at the office of management budget at the Treasury Department to learn all that they had to offer about their corner of the federal budget, their corner of the global economy, and to be really open to that was an incredible accelerant for what I learned and what I was able to do as a policymaker. Similarly, I showed up at BlackRock in my early mid-30s, having never been an investor before. What I realized was, okay, there's some things that I know that are relevant to this process of investing that I can offer. But I'm a total newbie. And whether it's the most senior MD or the most junior analyst or associate, there are things that they're going to know and know much more deeply about what we do here that I'm at square one on. And so to be open to being taught.

by people who know more about their thing than you do, wherever in your organization they sit. I mean, to me, that's been, you know, the most important touchdown across all of my career and something I try to remind myself of every day sitting in my new role at BlackRock. This is an extraordinary organization filled with people who know their corner of what we do better than anybody else. And if I'm open to that, I can bring things together, connect dots in ways that are going to deliver value for clients and deliver value. for the farm. Very good. Well, thank you very much for coming on, Mike. It's been fascinating to hear your perspectives given your background and your seat at the moment. And I guess people can follow you and BlackRock's insights on the BlackRock website and on the various social media channels. But from all of us here at Top Traders Unplugged, thanks for tuning in. And we'll be back soon with more content. Incredible. Thank you for having me. I really appreciate it.

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